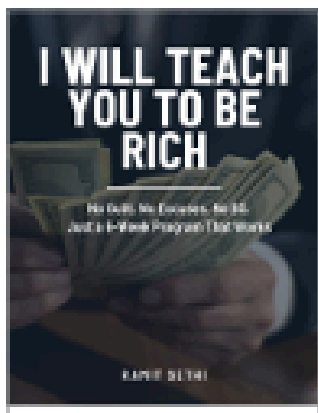




I WILL TEACH YOU TO BE RICH

No Guilt. No Excuses. No BS.
Just a 6-Week Program That Works

RAMIT SETHI



The Big “So What”

Many young people are living from paycheck to paycheck, with no savings and no plans for their financial future. **This book presents a 6-week program that'll help you to start managing your money better and live a more fulfilling life.** The insights are especially useful for young people in their 20s and 30s in America, but can be applied by anyone who wants to be financially well-off.



Introduction



You don't need to be a financial expert to become rich. The best financial management principles are actually very simple: sound budgeting, conscious spending, sensible banking, and buy-and-hold investment strategies.



To get rich, start investing your money as early as possible. If you keep your money in the bank, you'll lose money due to inflation of about 2% per year. Don't wait till you're 100% sure to invest or you'll end up doing nothing. Take small consistent steps and learn along the way.



If you follow the practical steps in this book, you can start to take control of your money in 6 weeks, redirect it toward your financial goals and eventually achieve financial independence.

KEY QUOTES

"You don't have to be an expert to get rich. You do have to know how to cut through all the information and get started."

"Investment isn't about being sexy—it's about making money."

"The single most important factor to getting rich is getting started, not being the smartest person in the room."



1. Manage your Credit

Credit should be a financial resource, not a burden.

Use Credit Wisely



Debt or credit allows us to purchase high-value items that we can't otherwise afford, e.g. a house, car, university education. Generally, debt is good if you use it for things that increase in value over the loan duration (e.g. a house).



However, it can have serious consequences if you develop the habit of spending more than you earn.

- When you don't pay your monthly credit card payments in full, you incur average interest rates of 14% per year. The bank may also levy extra penalties for missing your payments.
 - (i) If you spend \$10,000 on a credit card purchase and only pay the minimum monthly balance, it'll take you 13yrs to repay the amount. The *interest* alone is ~ \$4,000, since the debt rolls over each month and the interest builds up. You end up paying much more for your purchases.
 - (ii) There's also an *opportunity cost*. If the \$4,000 had been invested at 8% returns, you'd have \$27,000 after 13yrs.
- However, if you use your credit cards responsibly and pay your bills in full every month, your cards can serve as an interest-free loan, help you to track your spending, and even earn cash bonuses, air-miles and other perks.

Improve your Credit Rating



Your credit rating reflects your borrowing track record. It comprises (i) a *credit record* of your personal information and borrowing habits, and (ii) your *credit score* which shows

KEY QUOTES

"Establishing good credit is the first step in building an infrastructure for getting rich."

how likely you are to repay your loan. The better your credit score, the less risky you are to lenders, and the easier and cheaper it is to get a loan. A good credit score can save you thousands of dollars over your lifetime.



Build a good credit track record by optimizing a few credit cards.

- As a rule of thumb, use just 2-3 credit cards with the lowest fees and the best rewards. Do your research: choose a card with a low interest rates and suits your lifestyle, e.g. if you travel a lot, opt for a card which gives air miles.
- Your credit utilization rate (CUR) is your current debt divided by how much you can borrow. The lower your CUR, the better. To improve your CUR, call your bank to increase your credit allowance or pay off your credit card debt.
- Minimize your card-related charges. Call your bank to negotiate the fees, payback periods, interest rates and credit limits. It's much easier to get concessions when you've been using the same card for several years.



Start repaying your debts to reduce your interest payments and improve your credit rating.

- Work out how much debt you have, then develop a monthly plan to repay it. Deduct each month's expenses from your income to calculate how much you can set aside. If you can't even cover your minimum payments, you must earn more, spend less and negotiate for a lower minimum balance.
- If you have >1 credit card, start by paying the minimum on every card. Then, pay as much as you can, either for the card with the highest interest or the lowest balance. Freeze all new spending on the cards, and aim to pay off 1 card at a time. Automate your monthly repayments so you won't forget to pay them nor feel the loss psychologically.

Action Steps for Week 1

- Get your credit report and credit score.
- Research and manage your credit cards (aim for zero fees).
- Develop a plan and up automatic payments to pay off existing debts.

KEY QUOTES

"Optimize your credit card(s) and use them as a spearhead to improve your overall credit."

"You can't make a plan to pay off your debt until you know exactly how much you owe."

"Paying off debt just takes hard work and a plan."



2. Optimize your Bank Accounts

Bank accounts are at the core of your personal finances. **Pick the best banks/accounts, minimize fees and maximize interest.**

★ — Choose banks accounts that suit your needs, offer lower fees and higher interest rates.

- Do your research. Ask your friends for recommendations and compare different banks' interest rates and fees (e.g. overdraft charges, annual/monthly fees and ATM withdrawal fees).
- Pay attention to the bank fees. These are often more crucial than the interest rate. If you save \$1,000, you'll earn \$5 annual interest at 0.5% interest rate. Yet, an overdraft fee of \$10 (for not having enough money in your account) will wipe out the entire year's interest in one go.

⊖ Don't be afraid to negotiate your bank fees and minimum limits. Banks earn money by lending the money deposited by customers (like yourself) to other customers. It can cost \$200-\$3,500 for a bank to acquire a new customer, so they'll want to retain your business.

- If you incur an overdraft fee, call up your bank to explain that it's a first-time mistake and ask them to waive it. Usually, you can also get other charges (e.g. annual fees, ATM fees) or minimum balances waived if your employer direct deposits your paycheck into the account each month.

🏠 Open separate checking and savings accounts to get the best rates and services from each account.

- Checking accounts are used for money that you spend regularly, e.g. paying your bills/expenses via checks, debit cards, ATMs or online transfers. Go for a *no-fee, no-minimum checking account* for such regular transactions.
- Savings accounts are for storing money that you won't need in the short/medium term. Set up a separate *high-yield savings account* to maximize your interest and to

KEY QUOTES

"Your bank's fees are often more important than the interest rate it offers."

to reduce the temptation to dip into your savings. Sethi recommends *online banks* since they can offer 6-10x higher interest rates than traditional brick-and-mortar banks. It may take 3-5 days to withdraw money from online accounts, but the higher interest rates are worth it since you won't be making regular withdrawals.

- You can even open several accounts with multiple banks to get the best rates and services from each.

Action Steps for Week 2

- Open or switch to a no-fee, no-minimum checking account.
- Open or switch to an online high-interest savings account.
- Leave 1.5 months' living expenses in your checking account as a buffer. Transfer the balance to your savings account each month.



3. Prepare to Invest

The earlier you invest, the faster you can get rich. **Set up 2 types of retirement investment accounts—a 401(k) and a Roth IRA—so your money can start working for you 24x7.**



Many companies offer the 401(k) account to their employees. You just need to fill out a form to indicate (i) how much of your paycheck should be sent directly to this account and (ii) the investment options you prefer. Let the money grow over time. You can start withdrawing when you're at least 59.5 years old.

- The 401(k) account offers several benefits:
 - (i) Once it's set up, the money gets transferred *automatically* from your paycheck without you having to do anything.
 - (ii) Your 401(k) contributions are *pre-tax*, i.e. you only pay tax when you withdraw the money. This means an extra 25-40% more money being invested and compounded to maximize your returns.
 - (iii) Your employer may match the amount you contribute, up to a certain limit (e.g. 5% of your salary). This means *extra money* each month.

KEY QUOTES

"Compounding is mankind's greatest invention because it allows for the reliable, systematic accumulation of wealth."

—Albert Einstein

- Tips for leveraging the 401(k):

- (i) Ask your company if they offer the 401(k). Open an account asap if you haven't.
- (ii) Maximize the employer's match: if your employer will match up to \$5,000, then put in \$5,000 p.a. or \$416 p.m. to get the full company match. If possible, go beyond that to invest the maximum allowed for the 401(k).
- (iii) You can withdraw money from your 401(k) before you're 59.5 for certain emergencies, but avoid premature withdrawals since you'll pay taxes and a 10% penalty.
- (iv) If you change jobs, move your 401(k) money to an IRA account. Don't move your money into your new company's 401(k) since you won't get the employer's match on the older funds. Don't keep your money in your old 401(k) either, as you probably won't make the payments. The worst thing to do is to cash out your 401(k) and pay the penalties/taxes.

 Another retirement account to open is the Roth IRA. To qualify, your income must be within certain stipulated levels.

- The key benefits of the Roth IRA are:

- (i) You can invest in whatever you want; and
- (ii) You pay tax on your contributions but not on your earnings. In short, you invest your after-tax income, let the investments grow and needn't pay tax on the earnings when you withdraw the money in future.

- Tips for your Roth IRA Account:

- (i) Compare different options based on their minimum required investments and features offered.
- (ii) Consider discount brokerage firms (e.g. Vanguard or T. Rowe Price) since they offer lower fees and online access.

KEY QUOTES

- (iii) Open an account asap. You can withdraw from the account without penalty after 5 years. So, the earlier you open it, the earlier you can start withdrawing.



To get the best returns, invest in this sequence:

- Open a 401(k) account. If your company offers a match, contribute enough to get the full match. If not, don't make contributions yet.
- Pay back your existing debts, since the interest rates are usually much higher than what you can earn from investments.
- Set up automatic monthly deposits for your Roth IRA account. Contribute as much as possible.
- If there's money left, max out your 401(k). Then, put the balance into a non-retirement account, pay off any mortgage debts and invest in yourself (e.g. start a business, further your studies).

Action Steps for Week 3

- Open your 401(k) account.
- Come up with a plan to pay off debt.
- Open a Roth IRA with automatic monthly transfers



4. Adopt Conscious Spending

Use a **conscious spending plan** to become aware of how you're spending your money and consciously decide how you'll allocate your monthly take-home pay.



As a rule of thumb, set aside:

- 50-65% for monthly fixed expenses (e.g. rent, utilities, car insurance, debt repayments).
- 10% for long term investments (e.g. 401(k), Roth IRA and other investment accounts).

KEY QUOTES

"If you invest in yourself, the potential return is limitless."

- 5-10% as savings for short-term goals (e.g. vacations, Christmas gifts), and long-term goals (e.g. a wedding or down-payment on a house). For example, if you aim to save \$28,000 for a wedding in 6 years, you should start saving \$389 a month ($28,000/72$ mths).
- 20-35% for guilt-free discretionary spending.



Reduce spending effectively with these tips:

- Be frugal, not cheap. Frugal people focus on long-term value and spend on what matters. Cheap people focus on the lowest price, try to pinch pennies in every area and may even scrounge off others. The key is to spend on what you truly love and ruthlessly cut the rest—if you love designer shoes, go ahead and buy them with the money for discretionary expenses but cut expenses in other areas.
- Use the 80/20 rule: Zoom in on the 20% cost items that make up 80% of your expenses. Focus on the big wins, e.g. reduce credit card interest instead of saving \$1 on a chocolate bar.
- Go "à la carte". Cancel all your recurring subscriptions, then pay for the items you need individually. We tend to overestimate how much we'll use a subscription service. If you pay as you go, you'll make a conscious decision each time you pay. For example, stop paying \$70/month for a gym membership which you use only 3 times; buy a \$10 day pass each time you go.
- Set a savings goal. It's easier to forgo an expensive lunch to save for a meaningful goal like a holiday or house down-payment.
- Don't take extreme measures (e.g. stop eating out altogether) as it's not sustainable. Instead, set realistic goals, e.g. progressively decrease meal expenses by \$10 each week.
- Use the envelope system to pre-allocate a fixed monthly amount to each expense category, e.g. \$250 for eating out, \$350 for groceries. You can transfer money between envelopes, but you must stop spending once an envelope is empty.

KEY QUOTES

"Frugality, quite simply, is about choosing the things you love enough to spend extravagantly on—and then cutting costs mercilessly on the things you don't love."

"Try focusing on big wins that will make a large, measurable change."

 Once you've implemented a Conscious Spending Plan, give yourself some time to settle into a new rhythm. Maintain your spending plan—if you have an unexpected bonus or pay raise, give yourself a small reward then save/invest the rest.

 You can concurrently seek to increase your income:

- Deliver more value in your job so you can negotiate a pay raise. Track your work tasks and results, and ask your boss for feedback on how exactly you can exceed expectations. Adopt the feedback, track your results and get feedback again on how to do better. When you know you've been exceeding expectations and delivering real results, request for a meeting to discuss your compensation—ask your boss what you must bring to make the discussion more fruitful, and prepare accordingly.
- If you're in a dead-end job, consider getting a higher-paying job. Or, earn extra income from freelance work, e.g. babysitting, tutoring or dog-walking.

Action Steps for Week 4

- Using your paycheck and expenses last month, roughly estimate the numbers for your Conscious Spending Plan.
- Define your savings goals and monthly fixed costs. Go à la carte, break down the expenses, then recalculate your plan.
- Pick 1-2 big wins that can deliver the biggest expense cuts.
- Take 1 hour per week to enter your cash receipts, refine your percentages and maintain your plan.



5. Automate your Money Transfers

Invest some time to set up your money flow to run on autopilot. This prevents procrastination and saves you time in the long run. You'll just need 1-2 hours per month thereafter to review your bills and accounts.

KEY QUOTES

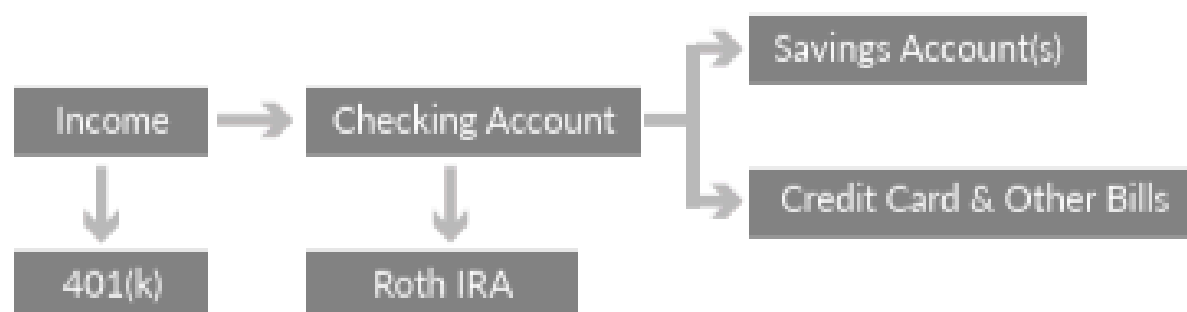
"Make sure a raise goes to your bottom line, not to your head."

"Getting a raise is not about you. It's about you demonstrating your value to your employer."

"The key to taking action is, quite simply, making your decisions automatic."



Set up your money flow as follows:



- Funnel all your money through your checking account. Get your salary deposited into this account. Then, automate transfers from your checking account (i) into your savings and investment accounts according to your Conscious Spending Plan, and (ii) to pay off your credit cards and other bills.
- Time your transfers: include a few days' buffer between the expected in-flow vs out-flow of money.
- If possible, use your credit card to pay for everything. Keep your receipts and tally them against your statement weekly. Get your card company to email you the credit card statement for review before payment. Have the bank notify you if your card spending crosses a certain limit (to avoid incurring overdraft fees).



If you don't earn a regular income (e.g. if you're a freelancer), get a solo 401(k) or a SEP IRA instead of the traditional 401(k). Before you start investing, set aside 3 months of minimum living expenses in your savings account as a buffer.

Action Steps for Week 5

- List down all your accounts. Link them as payees for online banking.
- Set up your automatic money flows using the tips above.



6. Know What to Invest In and How

Investment is *not* about picking "hot stocks" or trying to beat the market. The best investment strategies are actually very simple. Learn them and set aside an afternoon to set up your investments.

KEY QUOTES

"By spending a few hours up front, you'll end up saving huge amounts of time over the long term."

"Some of the best debt reduction strategies...involve tricking yourself into putting money aside, and making it hard to spend."

Why You Shouldn't Pay for Financial Expertise



! A real expert should deliver concrete results. Yet, most financial "experts" don't deliver higher investment returns than laymen:

- Don't believe so-called experts who claim they can predict the market or pick winning stocks. Financial markets are so complex that *no one* can accurately predict or outsmart them.
- Analysts and experts may appear to have superior insights due to the survivor bias—we only notice their successes but not their failures. A financial company may start many mutual funds, wait to see which ones succeed, then aggressively market those funds without us seeing the other funds that've failed or closed down. Likewise, analysts blow their trumpets when their predictions are right but not when they're wrong (which happens very often).

💡 There are indeed a handful of experts who consistently beat the market, e.g. Warren Buffett, Peter Lynch and David Swensen. They've each delivered at least 2x higher returns than the market, with 16-22% annualized returns over a period of more than 10 years. However, they advocate long-term, low-cost investments with a diversified portfolio.

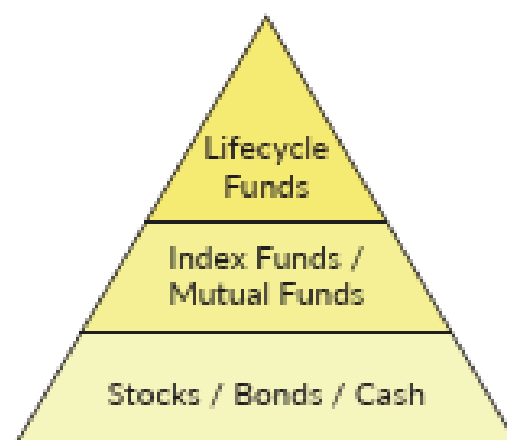
What to Invest in and How



💡 There're several asset classes in investments:

- At the basic level, you have stocks, bonds and cash:

(i) When you buy *stocks or equities*, you're buying a tiny part of a company. The stock value changes depending on the company's performance. Overall, stocks provide good returns (ave 8% p.a.) but it's hard to predict how individual stocks will perform.



KEY QUOTES

"Ultimately, expertise is about results."

"The only long-term solution is to invest regularly, putting as much money as possible into low-cost, diversified funds, even in an economic downturn."

- (ii) When you buy *bonds*, you're lending money to a government or company, on the promise that they'll pay it back with interest upon the bond's maturity. You can choose the duration of the loan and know the exact returns you'll get. Generally, the longer and riskier the bonds, the higher the returns. Government bonds are the safest with lowest yields of 2-3%.
- (iii) Your uninvested money is held as *cash* (usually in the bank). It's the safest but you'll lose money due to inflation.
- Stocks/bonds can be clustered into *mutual and index funds*.
 - (i) *Mutual funds* are groups of stocks (and sometimes bonds) that're actively managed by fund managers. These managers are paid high salaries to pick the best funds, and investors are charged 1.5-3% of the invested amounts for this service. This means that to breakeven, the funds must perform at least 1.5-3% better than the market. Yet 75% of the time, fund managers fail to beat or even match the market. So, you end up paying higher fees for lower returns!
 - (ii) *Index funds* use computers to run the fund. Instead of trying to pick "good" stocks, the computers include *all* the stocks in the index (e.g. all 500 stocks in the S&P 500) to match the market. Such funds move closely with the market, so there'll be short-term fluctuations but long-term growth (since markets almost always grow in long-term). Index funds charge lower fees ($\approx 0.18\%$) compared to mutual funds ($\approx 2\%$), which makes a huge difference over time. Assuming you invest \$100/mth at 8% returns, you'll have \$70k in an index fund but only \$44k in a mutual fund after 25yrs.
- Your financial needs change with age. In your 20s/30s, you can afford to be more aggressive and invest mainly in stocks, since you can wait for the market to rebound if it hits a downturn. As you get older, you should balance your portfolio with bonds (which are safer but have lower yields). *Lifecycle funds* automatically diversify your investments based on your age. They're ideal for people who prefer a fuss-free, one-size-fits-all option that's low-cost and tax-efficient.

KEY QUOTES

"If you're not investing, in the long term you're losing money every day."

"Nobody can consistently guess which funds or stocks will outperform, or even match, the market over time."

"When it comes to investing, fees are a huge drag on your returns."

- There're also other investment options (e.g. real estate, art, precious metals), but the returns generally aren't that good.

 The key to successful investment is to build a diversified portfolio. This involves (i) allocating your money across different asset categories (e.g. stocks vs bonds) and (ii) diversifying your investments within each asset category. That way, your portfolio is protected even if 1 market or sector suffers a dip.

- The easiest approach is to invest in lifecycle funds, which is diversified and automatically adjusted according to your age.
- If you prefer more control, then build and manage your own portfolio by choosing your index funds (which Sethi recommends over mutual funds). However, you must have the discipline to rebalance your portfolio every 12-18 months (see the next section).
 - (i) Choose at least *3-7 different funds*. Many funds require a minimum investment of \$1-3k, so you'll probably need to build your portfolio gradually as you save up. Start with equities for faster growth, then add bonds to balance your portfolio. Choose funds with low management fees (<0.75%) and a strong performance over the past 10-15 years.
 - (ii) You can start with *David Swensen's recommended allocation*: 30% domestic funds, 15% developed world international equities, 5% emerging world equities, 20% real estate funds (REITS), 15% government bonds and 15% treasury inflation protected securities (TIPS). This can be adjusted later based on your age and risk tolerance.

 No matter which option you choose, go for automatic investing.

- Set up automatic monthly payments so you needn't monitor the market closely nor be tempted to make irrational changes. By investing small amounts over time, you're also diversifying your risks using dollar-cost averaging. When prices go up, you'll automatically

KEY QUOTES

"When you're evaluating a fund, the only way to really gauge it is by looking at its track record for the last ten years or more."

"Automatic Investing may not seem as sexy as trading in hedge funds and biotech stocks, but it works a lot better."

buy fewer shares; when prices go down, you'll automatically buy more. In the long run, this offers more predictable returns than trying to beat the market with short-term speculation.

- Adopt a long-term perspective. Don't panic and sell your investments when the market dips. Smart investors know that markets *will* recover—they hold their investments and sell only at the right time/price.
- There's no need to pay for financial expertise since you can get higher returns from automatic investments in low-cost funds. But if you still wish to hire a financial adviser, then (i) choose a fee-based (not comms-based) adviser, (ii) do reference checks with their clients (with a similar profile as you), and (iii) ask for their approach (including what they'd do in the next 30, 60, 90 days). Or, if you still wish to explore mutual funds, look for those that consistently outperform the market by examining their post-fee, post-tax returns for the last 10, 15 and 20 years.



The earlier you start investing, the better. Use several hours to set up your investments properly and start growing your money.

Action Steps for Week 6

- Choose lifecycle or index funds based on your investing style.
- Research your investments and decide on your portfolio mix.
- Buy your fund(s).



7. Maintaining your Investments



By now, 85% of the work is already done, though you must still rebalance your funds every 12-18 months if you chose index funds. Some funds will out-perform others, resulting in a change in your portfolio mix over time. You may start with 30% domestic equities, yet 12 months later they can make up 50% of your portfolio if they increased more in value compared to other funds. To maintain your target asset allocation, (i) pause your automatic payments for the high-performing funds and (ii) redistribute the money among the other funds.

KEY QUOTES

"Be fearful when others are greedy and greedy when others are fearful."

"Being rich is within your control, not some expert's. How rich you are depends on the amount you're able to save and on your investment plan."

"Because compounding works so effectively, the more you save now, the more you'll have later."



Aim to reach the target percentages in your Conscious Spending Plan asap. Thereafter, save and invest as much as possible so you can get the most of the compounding effect. Once you reach your investment goals, go ahead to cash and enjoy the rewards.

Living a Rich Life



Having a rich life goes beyond acquiring money, though money can give us the freedom to do what we love and give back to others. By having a conscious spending plan and a system to save and invest automatically, you can spend on things that matter and still achieve your goals.



In the book, Sethi discusses many financial decisions that'll impact your life and financial stability. In particular, your big purchases (e.g. buying a car or house) have a disproportionate impact compared to your small saving on clothes or meals.

- Consider the total cost of ownership (e.g. insurance, property tax, repairs and maintenance of owning a house), the upfront vs monthly payments, and the opportunity cost (money that could've been invested or used for other priorities).
- Do your research carefully and make financially-sound decisions. Buy a car/house that you'll drive or live in for ≥ 10 years to maximize the lifetime value.



Money matters can affect your relationships, yet it's awkward to talk about money. In the book, Sethi also addresses how to handle sensitive conversations about money with your parents, spouse or friends.



Other Details in the Book to Look out For

This is a light and humorous book with many illustrations, calculations, recommended resources and detailed steps/tips to guide you through the 6 weeks' action plan and beyond.

KEY QUOTES

"A rich life is about more than money. It starts by managing your own. And it continues by helping others become rich."

"Focus on spending time on the things that matter, the big wins."

"Getting rich isn't about one silver bullet or secret strategy. It happens through regular, boring, disciplined action."